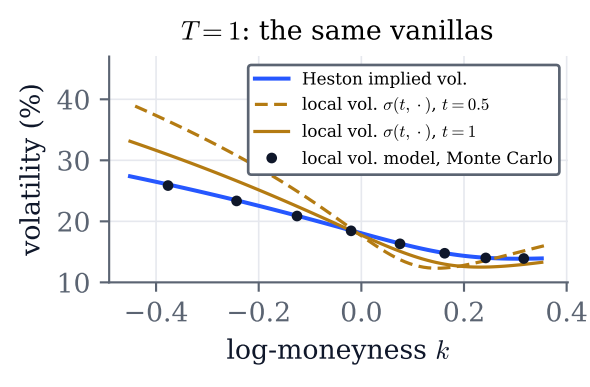
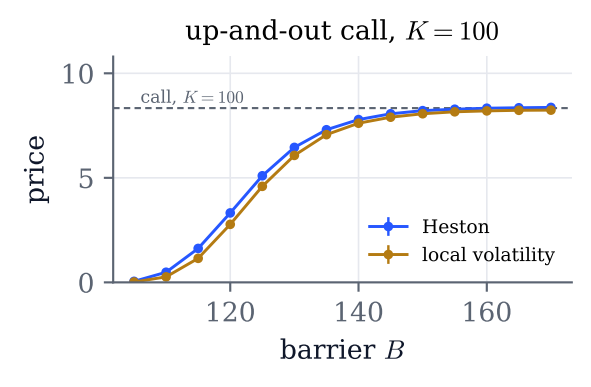

$T = 1$: the same vanillas
Heston implied vol.
local vol. $\sigma(t,\cdot)$, $t = 0.5$
local vol. $\sigma(t,\cdot)$, $t = 1$
local vol. model, Monte Carlo
volatility (%)
40
30
20
10
−0.4
−0.2
0.0
0.2
0.4
log-moneyness k


up-and-out call, $K = 100$
call, $K = 100$
price
10
5
0
120
140
160
barrier B
Heston
local volatility